F05 — Financial Investment Feasibility & Capital Allocation

PSS Acceptance 360 | Operate + Connect as the leading *testable* hypothesis | Version 1.0 | 19 October 2026

CONTROLLED PRE-APPOINTMENT FINANCIAL APPRAISAL — NOT A VERIFIED PROJECT BUSINESS CASE

Independent research prepared for prospective Research, Product and Business Development management discussion. Not commissioned, adopted, reviewed, signed or authorised by Premier Switch Solutions (PSS). No PSS confidential records, bank commitments, supplier quotations or CFO-approved discount rate were used.

Document control & scope

Control	Entry
Document	F05 / Volume III / Financial investment and capital allocation feasibility
Baseline	Incremental nominal-ETB pre-tax unlevered cash flows; month 0 plus 60 monthly periods
Options	A full suite; B Operate + Connect; C PSS Pay-led; D partner-managed; E BAU/no incremental investment
Inherited research	S01/S02; P01–P04; F02/F03/F04; V03 buyer and V05 product-validation protocols
Decision authority	Future authorised PSS CFO, CEO/Executive Committee, Board, Legal, Risk and independent reviewer
Actual evidence	Missing; 0 approved financial assumptions and 0 contracted incremental bank receipts

Executive opinion & recommendation

Status: financial feasibility is presently INDETERMINATE, not positive or negative. A 60-month methodology can be prepared, but NPV, IRR, breakeven month, cash funding requirement and preferred strategic option cannot be asserted without validated inputs. The data room has not been opened and the user is not yet serving PSS in this position.

Requested decision after appointment: authorise a capped feasibility evidence-gathering work programme if the institution chooses, NOT platform CAPEX, vendor award, bank commitments, tariff publication or pilot deployment. PSS Operate + Connect is retained only as the first alternative to measure; PSS Pay-led, partner-managed and no-new-investment remain eligible to win on evidence.

1. Investment question and decision boundary

The capital question is whether PSS can deliver a narrowly defined, bank-paid operational evidence/reconciliation and reusable connectivity service profitably across its complete economic lifecycle, without requiring unverified revenue from schemes, merchant discount rates, interchange, subsidies, merchant float or credit. A sponsoring bank must independently benefit after paying fees, its IT integration costs and retained operational responsibilities.

No public merchant market statistics, national transaction totals or PSS product announcements can stand in for contracted buyer revenue, PSS actual costs or a verified enterprise valuation. Technical ability, bank economic value, licensing authority and procurement legality are separate kill gates.

2. Investment options and common counterfactual

Option	Investable proposition	Financial counterfactual /

		requirements
A — Full 360	All proposed acceptance and operational modules together	Full suite costs, licensing, supplier dependencies, probable low initial utilisation; no cross-module revenue without signed basis
B — Operate + Connect	Scoped event evidence, bank adapters, reconciliation and exception controls	Monthly bank-paid service receipts less true fixed/variable cost and integration/assurance cash
C — PSS Pay-led	Selective scale-up of existing announced merchant product	Evidence of product status, MPoC/scheme/merchant terms, activation and attributable margins
D — Partner managed	Specialist supplier service managed or white-labelled by PSS	Contract costs, SLA liability, data/exit costs and bank price sensitivity
E — No investment/BAU	Improve existing operations or maintain service without new platform	Incremental avoidable cost, risk and opportunity loss vs defined baseline; do not assume free or zero

Cross-option modelled returns must share the same nominal currency, horizon, treatment of shared cost, risk, counterfactual, tax convention and CFO hurdle. An option with missing evidence is not worse than one with invented numbers. The workbook shows blank metrics for incomplete options and never auto-selects a preferred vendor or strategy.

3. Model architecture and workbook control

The Excel file provides Inputs (21 missing finance drivers), Bank Ramp (60 missing monthly active-bank counts), Monthly Cash, Annual Bridge, Stress Cases and Stress Cash, Options, Bank Value Evidence, 16 Approval Gates, 26 Cost & Evidence requests, risk register and Source/Guide. Yellow/blue cells are candidate inputs; formula outputs are locked by logic rather than filled with assumptions. Missing data remain empty, not silently set to zero.

A mechanical readiness flag requires all 21 input cells and all 60 bank-month cells. This flag means only that a test scenario can calculate; it must never be read as institutional evidence, a finance opinion or a passed decision gate. Verification statuses are maintained separately and initially all remain open.

4. Calculation specification

Metric / component	Finance formula and interpretation
Bank receipts	Active banks × agreed minimum fee + eligible active merchants × bank-paid service fee + permitted eligible-event overage + newly onboarded bank setup receipts.
Fixed monthly costs	PSS platform operations + cyber/compliance + vendor fixed services + separately recorded FX-sensitive service cost, with optional contractual annual escalation.
Variable monthly costs	Eligible active merchants × marginal servicing cost + eligible payment events × real marginal processing cost, escalated under an evidenced policy.
Implementation / capital	Month-zero build and assurance cash, per-new-bank onboarding cash cost, monthly replacement CAPEX, and changes in bank-related working capital.
Net project cash flow	All permitted cash receipts less fixed/variable expenses, integration costs, capital outlays and incremental working capital; before tax and financing.
Discounted value	Monthly factor = (1 + approved annual nominal hurdle)^(-month/12); pre-tax NPV = month-zero net cash + 60 monthly discounted net cash.
Investment IRR	Annualised monthly IRR = (1 + IRR of 61 monthly periods)^12 − 1, if an economically meaningful real-valued IRR exists.
Liquidity and payback	Funding need = maximum negative cumulative monthly cash balance. Payback is first positive crossing of cumulative cash

	and may never occur within 60 months.
Subscription switching floor	A purely mathematical present-value bank-fee threshold. It is not an approved tariff and is invalid if bank value ceiling is lower.

5. Accounting and currency requirements

All worksheet monetary flows are ETB nominal. The annual hurdle must be a PSS CFO/Treasury-approved nominal ETB rate compatible with cash-flow inflation and risk assumptions. Do not insert UK public-sector social discount rates, Ethiopia T-bill rates or foreign investor WACC as an unsupported proxy. The model intentionally uses no prescribed numeric discount rate.

- Tax is not yet modelled. Corporate income tax, VAT/withholding treatment, deductibility, depreciation/capitalisation, tax-loss timing and transfer pricing must be separately reviewed by Tax and CFO before any funding case.
- Foreign-currency vendor costs need actual contract currency, payment dates, exchange exposure and convertibility assumptions. One ETB-equivalent input is not an FX hedge or foreign-payment authorisation.
- Distinguish project free cash flow from P&L, accounting EBITDA and leveraged equity cash flow. Debt draws, interest, grant receipts and revenue sharing should not be inserted without documented authority.
- Working capital is tied for a bank until the ramp decreases. No unsupported terminal value or automatic working-capital release is assumed in month 60. Revisit continuing operations and exit costs with CFO.
- Assess the price ceiling banks can actually justify and the fee floor PSS requires; even positive project NPV cannot override negative buyer ROI or lack of signed bank sponsorship.

6. Scenario, uncertainty and capital-at-risk analysis

Scenario multipliers in the stress sheet are transparent illustrative shocks, not observed probabilities or predictions: downside cash receipts 0.70×, recurring operating costs 1.30×, capital spending 1.25×; reference 1.00×; upside receipts 1.15×, operating costs 0.95×, capital spend 1.00×. Inputs may be changed only with clear notation. These scenarios do not yet price regulation delays, tax, settlement risk or financing.

In a separate sensitivity pass, shift bank activation by 6–12 months, remove a leading bank sponsor, increase foreign-currency supplier costs, double actual exception volumes, and impose early-exit/contract termination costs. Use source-backed single-variable and combined-stress tests. Switching values—where NPV reaches zero—are more decision-useful than presenting one optimistic IRR. [EXT-01] [EXT-02]

Investment exposure	Required reading / trigger
Peak negative cash	Treasury confirms accessible funding, liquidity buffer and ability to stop spending.
NPV	Must be positive at an internally authorised hurdle and after credible tax, contingency and risk adjustments.
IRR	Do not rely on IRR alone; non-conventional cash flows may imply ambiguous or multiple IRRs.
Capital-at-risk	Stage releases behind evidence gates; ring-fence pilot cash from full-platform capital.
Commercial switching	If PSS viable fee exceeds bank value ceiling, simplify scope, partner or stop.
Option flexibility	Maintain no-build and supplier alternatives; avoid irreversible exclusive procurement too early.

7. Dependency on earlier research

Source	Evidence that must enter F05	Current status
V03 bank research	Named economic buyer, willingness-to-	Unperformed

	fund evidence, cost baseline, executable commitment	
V04 merchant research	Observed usage, activation and merchant operation burdens	Unperformed
V05 product performance	Actual PSS cost-to-serve, event volumes, service quality, reusable interfaces	Not accessed
P04 sourcing	Life-cycle supplier bids, support tariffs, data portability, related-party disclosures	Unquoted/unapproved
F02 technical and F03 legal	Secure integration feasibility, certification, licenses and data permission	Uncleared
F04 commercial economics	Bank-specific net benefit and PSS steady-state operating contribution	Blank-input model

8. Finance data-room requests & independent checks

Request approved source extracts only after a documented appointment and permission: bank contracts and budget holders; current PSS costs and transaction logs; vendor/technology bids; payroll, cloud and security budgets; financing and currency policy; legal scope, tax treatment and transfer pricing. The F05 workbook lists 26 evidence requests and 16 mandatory gates, each with a proposed institutional reviewer.

Independent challenge should review forecast optimism, adverse ramp and attrition, costs shared with other PSS systems, delayed implementation, buyer value double counting, related-party procurement, currency shocks, privacy compliance and whether no-build remains the rational use of capital. The reviewer must have authority to reject the preferred hypothesis and record dissent.

9. Phased post-joining decision path

Proposed phase	Work after authorisation	Decision outcome
0 — mandate	CEO/CFO define research scope; Legal governs access; register evidence owners	Research permission only
1 — discovery	V03 bank buyers, V05 cost logs, procurement quotes, legal and technical reviews	Revised scenario inputs and stop criteria
2 — controlled validation	Reconciled bank economics, costed proof tests and staged investment options	Feasible/no-go/partner alternative
3 — finance challenge	PSS CFO builds compliant tax/FX model, Risk challenges downside, Audit reviews evidence	Independent investment memo
4 — Executive/Board decision	Specify cash limits, contract controls, kill points, measurable pilot outcomes	Approve/condition/defer/reject; never implied

10. Investment decision requested now

No funding or investment vote is recommended at the pre-appointment stage. Save the completed template for eventual CFO review. If permitted after joining, prioritise a limited evidence-gathering mandate, contractual opportunity discovery and independent comparison of the five options. An actual investment proposal should only be issued with bank-validated positive economics, finance-verified project cash, acceptable downside funding, proven regulatory and cybersecurity readiness, and explicit recorded approval.

Annex A — Public methodological references

[EXT-01] HM Treasury. The Green Book (2026): formal options appraisal, optimism bias, uncertainty, scenario and switching values. https://www.gov.uk/government/publications/the-green-book--2/the-green-book-2026 — Methodological reference only; its social discount rate is not a PSS corporate hurdle.

[EXT-02] World Bank. Handbook for Economic Analysis of Investment Operations: sensitivity and switching-value approach. https://ppp.worldbank.org/public-private-partnership/sites/default/files/2022-05/Handbook-Economic-Analysis-Investment-Operations.pdf — Methodological reference only; not validation or endorsement of this project.

Annex B — Unresolved finance judgments

- Precisely define the incremental BAU counterfactual and attributable shared-cost treatment for each option.
- CFO approval of the ETB nominal hurdle, real-vs-nominal inflation method and risk discount treatment.
- After-tax investment, VAT, withholding, depreciation and working capital treatment.
- Bank contract enforceability, cash collection timing, revenue recognition and exit rights.
- External FX vendor liability, convertibility, procurement compliance and supplier transition cost.
- Project end-state: continuation, replacement, residual value, decommissioning and capital release.
- Thresholds for stop/partner/invest decisions and independent sponsor dissent.